

By **YAMINI AIYAR**

REFRAMING THE CASH TRANSFER DEBATE

CASH TRANSFER SCHEMES SHOULDN'T BE TREATED AS FREEBIES. THAT SAID, THEIR POPULARITY WILL HAVE MAJOR IMPLICATIONS FOR OUR DEMOCRACY



Illustration by **NILANJAN DAS**

Ladki Bahin, Ladli Behena, Lado Lakshmi, Gruha Lakshmi, Maha Lakshmi, Maiya Samman, Pyari Behna Sukh Samman... In 2024, India witnessed an explosion of cash transfer schemes targeting women. The actual amounts transferred are small, averaging about Rs 1,500 per month, but the reach is wide. Fourteen states are spending about 0.6 per cent of the GDP annually on the schemes, reaching 34 per cent women, according to estimates by Axis Bank. No political party will now risk the electoral battlefield without a cash transfer guarantee in their armour. In Maharashtra, the electorate had to wait a few extra weeks for election dates to be announced, in order for the cash benefits of Ladki Bahin Yojana announced in June to accumulate in the bank accounts. In Delhi, on the eve of the state election, the Aam Aadmi Party, widely credited for having placed education and health on the electoral agenda, chose to add the promise of the Mukhyamantri Mahila Samman to its electoral offerings. In our increasingly fractured polity, the need to compete over cash transfers is the one issue on which we have political consensus.

Electoral theatre notwithstanding, public investments in these schemes are not quite breaking the bank. Consider our BRICS colleagues. Brazil spends 5.8 per cent of its